Macdonald Hotels Limited

Annual report and consolidated financial statements

Registered number SC247423

52 weeks ended 28 September 2023

Contents

Strategic Report

The directors present their Strategic Report for the 52 weeks ended 28 September 2023.

Business review

The financial results for the 52 weeks ended 28 September 2023 are contained in the consolidated profit and loss account on page 11 of the report and accounts. The comparable figures shown in these accounts are for the 52 weeks to 29 September 2022.

The loss for the period was £3.8m, on a turnover of £128.9m compared to a profit of £44.4m on a turnover of £121.9m for the 52 weeks to 29 September 2022.

For the same period the group operating profit (excluding exceptional costs) for the 52 weeks to 28 September 2023 was £3.5m compared to an operating profit (excluding exceptional costs) of £3.7m for the 52 weeks to 29 September 2022.

Profit in the period to 29 September 2022 benefitted significantly from a substantial gain on sale of our Holyrood and Manchester Hotels totalling £45.8m. On 16 February 2023, we completed the sale of our Macdonald Ansty Hall Hotel for £8.3m, which realised a profit on sale of £1.0.m.

In May 2023, the Group successfully refinanced our existing debt, signing a £51.3m 5-year facility with Barclays and Royal Bank of Scotland. This, coupled with the sale of Macdonald Ansty Hall Hotel, marked significant progress in the implementation of our Strategy as we seek to develop many of the sites within our remaining portfolio of 27 hotels, 9 resorts and residential and other development opportunities at over 20 of our sites.

Sales growth of 6% in the period to 28 September 2023 was predominately a result of increased occupancy across our hotels and resorts. Continued growth in our thriving leisure clubs across 17 of our hotels has been encouraging, supported by an increase of over 15% in spa revenue. These ancillary revenue channels remain a key focus moving forward, especially with the opportunities which potential development will lead to across our facilities.

Rising costs in the period, particularly in utilities and staff costs, presented a challenge in terms of profit conversion, especially given that they represent the two main costs to the Group on an annual basis. Whilst electricity and gas consumption reduced by 7% in the period to 28 September 2023, the cost of utilities increased by over 10% due to increased pricing. This, coupled with a 10% increase to National Minimum Wage in April 2023, markedly increased the Group's cost base in the period. Whilst National Minimum Wage increased further in April 2024, the Group has benefitted from a substantial reduction in gas and electricity prices as part of a newly negotiated fixed utility contract from April 2024. This reduction, coupled with our focus on further reducing consumption as part of our sustainability strategy, has helped to improve our trading results in the year to 26 September 2024.

With sales and profitability improving and profit and cash generation projections for the summer of 2024 remaining strong, the directors have prepared the financial statements on a going concern basis as explained in note 1 to the financial statements.

Strategic Report *(continued)*

The principal risks and uncertainties affecting the business include the following:

- Economic risk: the Company is exposed to a reduction in demand for hotel stays, caused by economic recession or cost of living challenges. This risk is mitigated by our geographical mix of properties across the whole of the UK and Spain, our offering of both 4- and 5-star hotels and self-catering apartments appealing to a wider variety of customers and our targeting of both Corporate and Leisure business.
- Competitive risk: the Company operates in competitive markets. Product development by competitors could adversely affect the Company. The Company's focus on quality and standards, the diversity of operations, strong focus on cost control together with the continual investment in its hotels and product reduces the possible effect of action by any single competitor.
- Political risk: The Company continues to monitor in particular the points-based immigration system and the impact this may have on recruitment of core hospitality staff. Our policy remains to provide our employees with a safe working environment, excellent working conditions and career progression opportunities combined with competitive rates of pay.
- Information technology: the ever-evolving digital landscape presents an increasing risk to businesses. Robust internal procedures and substantial IT investment in recent years have helped to mitigate such risk, and management remain vigilant to threats, including cyber-security.

Key areas of strategic development and performance of the business include:

- Sales and marketing: significant efforts are made to develop the Company's brand and ensure new business is being won continually; new markets have been developed in line with the Company's strategy; key customer relationships are monitored on a regular basis.
- Competitive advantage: the Company focuses on areas where it has a competitive advantage including quality and value and the development of its people through a number of programmes designed to equip managers, supervisors and employees with the skills and knowledge needed to progress within the business.
- Information technology: the Company continues to realise the benefits of its investment in its central reservation and booking systems, its revenue management systems and its website.

Key financial performance indicators include the monitoring of the management of profitability and working capital.

The Board is satisfied that the working capital is being properly managed in the prevailing conditions in terms of debtors and creditors utilisation.

Financial	**52 weeks ended 28 September 2023**	**52 weeks ended 29 September 2022**	**Measure**
Gross profit %	7%	8%	Gross profit / Group turnover *100
Debtors days	14.5	14.0	Trade debtors / Group turnover * days in accounting period.
Creditors days	50.1	32.8	Trade creditors / Cost of sales * days in accounting period

Strategic report *(continued)*

Key non-financial performance indicators include:

- Corporate Social Responsibility: The Group has calculated its carbon footprint per room across the entire estate and has introduced a Corporate Sourcing Policy which outlines the Group's commitment across areas of supply chain to exacting standards.

- The monitoring of quality: The Group continues to use a number of quality monitors across all segments of the business including AA stars and rosettes, Revinate, Trip Advisor and Booking.com to ensure that it consistently delivers high quality services and facilities to its customers across its portfolio.

Companies Act s.172 statement

The Board meets monthly with Board papers circulated in advance to allow all Directors to fully understand both the financial and non-financial performance of the Group, including Health & Safety, Corporate Social Responsibility, our People, Operations, Business Development and Financial all compared against our long-term plan and underpinned by our Corporate Governance Policy.

The Group's success depends on the commitment of its employees and its ability to attract and retain them as well as develop their skills, particularly in a highly competitive labour market. The group is aware the development of its employees is key to the sustainability of the business. To mitigate this risk the Group has well established staff development and training plans in place.

All decisions taken by the Board promote the success of the Group whilst taking into account the effect on the wider stakeholder group and the impact on the community and the environment. The Board also works to ensure the company maintains strong business relationships with suppliers and customers, has employee engagement as a key priority for the Group and is committed at all times to maintaining the highest standards of business conduct.

By order of the board

H Gillies
Director

Crutherland House & Spa
Strathaven Road
East Kilbride
G75 0QJ

29 August 2024

Directors' Report

The directors present their report and the audited financial statements for the 52 weeks ended 28 September 2023.

Principal activities

The principal activity of the Group is the operation of hotels and leisure resorts.

Dividend

The directors do not recommend the payment of a dividend (*2022: £nil*).

Market value of land and buildings

In the opinion of the directors, the market value of the land and buildings of the Group exceeds the book values of the assets.

Directors

The directors who held office during the 52 week period ended 28 September 2023 and to the date of this report were as follows:

RG Fraser
H Gillies (appointed 20 October 2022)
I Gillies
DJ Macdonald
GH Smith

Certain directors benefitted from qualifying third party indemnity provisions in place during the financial period and at the date of this report.

Employees

The Group has a policy of communicating and consulting with employees on matters of concern to them and providing information in particular on the financial and economic factors affecting the performance of the Group. Fair and equal consideration is given to the recruitment and career development of all employees including disabled persons, whether or not they become disabled while in the Group's employment and to the provision of training and other assistance where necessary.

Greenhouse gas emissions and energy consumption

In accordance with the Streamlined Energy and Carbon reporting requirements, an assessment has been carried out of emissions generated from the Group's activities. The data for all UK subsidiaries was considered for reporting purposes, however only the Group met the criteria for mandatory reporting.

The methodology adopted applies to carbon dioxide equivalent (CO2e) conversion factors in line with the 2019 UK Government environmental reporting guidance to the energy used relating to the purchase of electricity for operating premises, the combustion of gas for heating premises and consumption of fuel for business travel. Data is based on actual information with estimations undertaken to cover missing billing periods. These were calculated on a kWh/day pro-rata basis at meter level. These estimations equated to 0.04% of reported consumption. The following figures show the consumption and associated emissions for the reporting year, with figures from the previous period included for comparison.

	52 weeks ended 28 September 2023	**52 weeks ended 29 September 2022**
Aggregate electricity and gas consumption	63,014,704 kWh	67,596,238 kWh
Vehicle fuel	28.31 tonnes of CO2e	37.23 tonnes of CO2e
Electricity	4,682.9 tonnes of CO2e	4,556.3 tonnes of CO2e
Tonnes of CO2e per available space	4.66	4.89

Directors' Report *(continued)*

Greenhouse gas emissions and energy consumption *(continued)*

The data is unaudited. The group has disclosed Tonnes of CO2e per available space as the intensity ratio it considers to be most appropriate to allow comparison.

We are committed to year-on-year improvements in our operational energy efficiency. As such, a register of energy efficiency measures has been compiled with a view to implementing these measures over the next 5 years.

Political and charitable contributions

The group received £28,000 in charitable donations from customers which have been distributed among a number of UK based charities *(2022: £30,000)*.

Disclosure of information to the auditor

The directors who held office at the date of approval of this directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each director has taken all the steps that he ought to have taken as a director to make himself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Other information

An indication of likely future developments in the business and particulars of significant events which have occurred since the end of the financial period have been included in the Strategic Report on page 1.

Statement of corporate governance arrangements

As a privately owned company Macdonald Hotels Limited is not obliged to apply any corporate governance code. The directors do recognise the principles of good corporate governance. An appropriately experienced board of directors is maintained at all times. The board meets regularly during the period. Authority for all aspects of the Group's activities rests with the board.

Matters reserved specific to the Board include formulating, reviewing and approving the Group's strategy, budget, major items of capital expenditure, acquisitions and disposals. The Board is also responsible for assessing the risks facing the Group and where possible developing a strategy to mitigate such risk. The board has established an Audit Committee which similar meets regularly during the period to consider the suitability of and monitor the internal control processes of the group. Appointments to the board are made by the board as a whole and it is not considered necessary to create a Nominations Committee.

The board is satisfied that it has an effective and appropriate balance of skills and experience to deliver the strategy of the group for the benefit of the shareholders over the medium to long term.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board

H Gillies
Director
29 August 2024

Crutherland House & Spa
Strathaven Road
East Kilbride
G75 0QJ

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, THE DIRECTORS' REPORT, AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing Strategic Report, the Directors' Report and the Group and parent Company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial period. Under that law they have elected to prepare the Group and parent Company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland.*

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and parent Company and of the Group's profit or loss for that period. In preparing each of the Group and parent Company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MACDONALD HOTELS LIMITED

Opinion

We have audited the financial statements of Macdonald Hotels Limited ("the Company") for the 52-week period ended 28 September 2023 which comprise the Consolidated Profit and Loss Account, Group and Company Balance Sheets, Consolidated Statement of Changes in Equity, Consolidated Cash Flow Statement and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the parent Company's affairs as at 28 September 2023 and of the Group's loss for the period then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Company or to cease their operations, and as they have concluded that the Group and the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We used our knowledge of the Group, its industry, and the general economic environment to identify the inherent risks to its business model and analysed how those risks might affect the Group's and Company's financial resources or ability to continue operations over the going concern period. The risks that we considered most likely to adversely affect the Group's and Company's available financial resources and/or metrics relevant to debt covenants over this period was the uncertainty in the cash flows in relation to future trading.

We considered whether these risks could plausibly affect the liquidity or covenant compliance in the going concern period by comparing severe, but plausible, downside scenarios that could arise from these risks individually and collectively against the level of available financial resources and covenants indicated by the Group's financial forecasts. Our procedures also included:

- Obtaining and assessing relevant documentation to ascertain the committed level of financing, its duration and related covenant requirements;
- Comparing prior period's prospective financial information against current period's actual financial results and comparing the current period's prospective financial information with the post period end actual results to assess the historical accuracy of forecasting; and
- Performing analysis of changes in key assumptions to understand the sensitivity of the cash flow forecasts in relation to available facility headroom and covenant compliance. We assessed the completeness of the going concern disclosure.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Using analytical procedures to identify unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit-team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because the recognition of revenue is not complex or subject to estimation or
judgement.

We did not identify additional fraud risks.

We performed procedures including identifying journal entries and other adjustments to test based on risk criteria and comparing the identified entries to supporting documentation. These risk criteria included certain keywords, journal postings by unexpected users, and journal postings with unusual account combinations.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations
We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit. The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, data protection laws, employment law, and certain aspects of company legislation recognizing the nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation
Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect noncompliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial period is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 6, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Hugh Harvie (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
Saltire Court
20 Castle Terrace
Edinburgh
EH1 2EG

30 August 2024

Consolidated profit and loss account

for the 52 weeks ended 28 September 2023

	Note	Before Exceptional Items	Exceptional Items (Note 3)	Total	
		52 weeks ended 28 September 2023 £000	52 weeks ended 28 September 2023 £000	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
Turnover		**128,880**	**-**	**128,880**	121,927
Cost of sales		**(119,367)**	**-**	**(119,367)**	(111,703)
Gross profit		**9,513**	**-**	**9,513**	10,224
Administrative expenses	3	**(6,033)**	**(4,719)**	**(10,752)**	(6,898)
Group operating (loss)/profit		**3,480**	**(4,719)**	**(1,239)**	3,326
Share of operating profit in joint ventures		**1,329**	**-**	**1,329**	-
Total operating profit		**4,809**	**(4,719)**	**90**	3,326
Profit on sale of land and properties		**1,023**	**-**	**1,023**	45,766
Other Income		**-**	**-**	**-**	170
Profit before interest		**5,832**	**(4,719)**	**1,113**	49,262
Interest expense and similar charges	6	**(4,679)**	**-**	**(4,679)**	(4,728)
(Loss)/profit before taxation		**1,153**	**(4,719)**	**(3,566)**	44,534
Tax on (loss)/profit	7	**(1,319)**	**1,038**	**(281)**	(96)
(Loss)/profit for the financial period	17	**(166)**	**(3,681)**	**(3,847)**	44,438

The group has no other comprehensive income in the current or prior period.

The profit for the period has been derived from continuing activities.

The notes on pages 16 to 36 form part of these financial statements.

Balance sheets
at 28 September 2023

	Note	Group		Company	
		28 September 2023	29 September 2022	28 September 2023	29 September 2022
		£000	£000	£000	£000
Fixed assets					
Intangible assets	*8*	**381**	429	**-**	-
Tangible assets	*9*	**207,512**	215,819	**1,915**	1,896
		207,893	216,248	**1,915**	1,896
Investments	*10*	**4,867**	3,870	**105,946**	105,946
Total fixed assets		**212,760**	220,118	**107,861**	107,842
Current assets					
Stocks	*11*	**1,362**	1,368	**33**	27
Debtors: amounts falling due within one year	*12*	**17,279**	16,063	**139,378**	140,337
Cash at bank and in hand		**23,346**	16,890	**8,145**	6,480
		41,987	34,321	**147,556**	146,844
Creditors: amounts falling due within one year	*13*	**(53,826)**	(95,177)	**(29,023)**	(70,169)
Net current (liabilities)/assets		**(11,839)**	(60,856)	**118,533**	76,675
Total assets less current liabilities		**200,921**	159,262	**226,394**	184,517
Creditors: amounts falling due after more than one year					
Bank loans and other creditors	*14*	**(45,908)**	-	**(45,859)**	-
Deferred tax liability	*15*	**(6,812)**	(6,891)	**-**	-
		(52,720)	(6,891)	**(45,859)**	-
Net assets		**148,201**	152,371	**180,535**	184,517
Capital and reserves					
Called up share capital	*16*	**3,348**	3,671	**3,348**	3,671
Profit and loss account	*17*	**144,853**	148,700	**177,187**	180,846
Shareholders' funds		**148,201**	152,371	**180,535**	184,517

The notes on pages 16 to 36 form part of these financial statements. These financial statements were approved by the board of directors on 29 August 2024 and were signed on its behalf by:

RG Fraser
Director

H Gillies
Director

Consolidated Statement of Changes in Equity

	Called up share capital £000	Profit and loss account £000	Total shareholders equity £000	Total equity £000
Balance at 30 September 2021	3,671	104,268	107,939	107,939
Profit for the period	-	44,438	44,438	44,438
Total comprehensive income for the period	-	44,438	44,438	44,438
Transactions with owners, recorded directly in equity				
Purchase of own shares by ESOP Trust	-	(6)	(6)	(6)
Total contributions by and distributions to owners	-	(6)	(6)	(6)
Balance at 29 September 2022	**3,671**	**148,700**	**152,371**	**152,371**

	Called up share capital £000	Profit and loss account £000	Total shareholders equity £000	Total equity £000
Balance at 29 September 2022	3,671	148,700	152,371	152,371
Loss for the period	-	(3,847)	(3,847)	(3,847)
Total comprehensive income for the period	-	(3,847)	(3,847)	(3,847)
Transactions with owners, recorded directly in equity				
Purchase of own shares	(323)	-	(323)	(323)
Total contributions by and distributions to owners	(323)	-	(323)	(323)
Balance at 28 September 2023	**3,348**	**144,853**	**148,201**	**148,201**

The notes on pages 16 to 36 form part of these financial statements.

Company Statement of Changes in Equity

	Called up share capital £000	Profit and loss account £000	Total equity £000
Balance at 30 September 2021	3,671	186,019	189,690
Loss for the period	-	(5,167)	(5,167)
Total comprehensive income for the period	-	(5,167)	(5,167)
Transactions with owners, recorded directly in equity			
Purchase of own shares by ESOP Trust	-	(6)	(6)
Total contributions by and distributions to owners	-	(6)	(6)
Balance at 29 September 2022	**3,671**	**180,846**	**184,517**

	Called up share capital £000	Profit and loss account £000	Total Equity £000
Balance at 29 September 2022	3,671	180,846	184,517
Loss for the period	-	(3,659)	(3,659)
Total comprehensive income for the period	-	(3,659)	(3,659)
Transactions with owners, recorded directly in equity			
Purchase of own shares	(323)	-	(323)
Total contributions by and distributions to owners	(323)	-	(323)
Balance at 28 September 2023	**3,348**	**177,187**	**180,535**

The notes on pages 16 to 36 form part of these financial statements.

Consolidated cash flow statement

for the 52 weeks ended 28 September 2023

	2023 £000	2022 £000
Cash flows from operating activities		
(Loss)/profit for the period	**(3,847)**	44,438
Adjustments for:		
Depreciation, amortisation and impairment	**7,761**	6,442
Gain on sale of tangible fixed assets	**(1,023)**	(45,766)
Interest payable	**4,679**	4,728
Taxation	**281**	96
Share of profit in joint venture	**(1,329)**	-
	6,522	9,938
Other non-cash and working capital items		
Increase in trade and other debtors	**(1,216)**	(492)
Decrease/(increase) in stocks	**6**	(153)
Increase/(decrease) in trade and other creditors	**4,357**	(2,975)
	3,147	(3,620)
Other cash operating items		
Interest paid	**(6,529)**	(4,015)
Interest paid on loan notes	**(1,473)**	-
Tax paid	**(28)**	-
	(8,030)	(4,015)
Net cash inflow from operating activities	**1,639**	2,303
Cash flows from investing activities		
Proceeds from sale of tangible fixed assets	**8,348**	99,722
Acquisition of tangible fixed assets	**(6,731)**	(5,574)
Purchase of own shares	**(323)**	(6)
Net cash from investing activities	**1,294**	94,142
Cash flows from financing activities		
New Loans	**51,300**	-
Payment of deferred arrangement fees	**(2,176)**	-
Repayment of loans	**(40,357)**	(104,890)
Repayment of loan notes	**(5,500)**	-
New Finance Agreements	**284**	-
Capital elements of finance lease payments	**(28)**	-
Net cash inflow/(outflow) from financing activities	**3,523**	(104,890)
Net increase/(decrease) in cash and cash equivalents	**6,456**	(8,445)
Cash and cash equivalents at 29 September 2022 and 30 September 2021	**16,890**	25,335
Cash and cash equivalents at 28 September 2023 and 29 September 2022	**23,346**	16,890

The notes on pages 16 to 36 form part of these financial statements.

Notes *(forming part of the financial statements)*

1 Accounting policies

These financial statements are drawn up for the period ended 28 September 2023.

Macdonald Hotels Limited (the "Company") is a Company limited by shares and incorporated and domiciled in the UK.

These Group and parent Company financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland (*"FRS 102"*) as issued in August 2014. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

The parent Company is included in the consolidated financial statements and is considered to be a qualifying entity under FRS 102 paragraphs 1.8 to 1.12. The following exemptions available under FRS 102 in respect of certain disclosures for the parent Company financial statements have been applied:

- The reconciliation of the number of shares outstanding from the beginning to the end of the period has not been included a second time;
- No separate parent Company Cash Flow Statement with related notes is included; and
- Key Management Personnel compensation has not been included a second time.
- The disclosures required by FRS 102.11 Basic Financial Instruments and FRS 102.12 Other Financial Instrument Issues in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

Judgements made by the directors, in the application of these accounting policies are considered in note 24.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary undertakings made up to 28 September 2023. The acquisition method of accounting has been adopted. Under this method, the results of subsidiary undertakings acquired or disposed of in the period are included in the consolidated profit and loss account from the date of acquisition or up to the date of disposal.

A joint venture in a contractual arrangement undertaking in which The Group exercises joint control over the operating and financial policies of the entity. Where the joint venture is carried out through an entity, it is treated as a jointly controlled entity. The group's share of the profit less losses of jointly controlled entities is included in the consolidated profit and loss account and its interest in their net assets is recorded on the balance sheet using the equity method.

Under section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account.

1.3 Going concern

The Directors have considered the future financial performance and liquidity of the Group headed by this company ("the Group"). The Group's business activities, together with factors likely to affect its future development, performance and position are also set out in the Strategic Report. These financial statements have been prepared on a going concern basis, notwithstanding net current liabilities of £11.8 million (2022: £60.9 million), for the reasons set out below.

During the twelve-month period ended 28 September 2023, the Group's net cash flow from operating activities was £1.6 million, compared to a net cash flow of £2.3 million in the year to 29 September 2022.

As set out in the Strategic Report, the Board continues to follow a strategy of individual asset sales. This strategy resulted in the sale of one property during the year, allowing the Group to repay £8.2 million of its banking facility.

Notes *(continued)*

1.3 Going concern (continued)

As of 19 July 2024, the Group was financed by a combination of cash balances, bank debt, loan notes and shareholder loans. As of 28 September 2023, the loan notes and shareholder loans (including interest), which totalled £13.32 million, are expected to be repaid in September 2024. The Group's banking facilities comprised of a fully drawn term facility of £50 million and an unutilised revolving credit facility of £5 million which expire on 5 May 2028. The bank facility is subject to financial covenants including Loan to Value, Leverage Ratio and a minimum liquidity requirement of £7.5m.

The directors have prepared cash flow forecasts for a period of twelve months from the date of approval of these financial statements (the "going concern period") which take into account reasonably possible severe but plausible downsides. The forecasts are based upon levels of trading similar to that experienced over the previous 12 months but taking into account increased interest rates, wage, and other costs. The Group has also prepared a downside scenario which reduces anticipated trading levels over the winter period with no growth in trading throughout the rest of the forecast period in comparison to prior years, despite current trading to date having been in excess of that level. This downside scenario indicates that the Group can operate within its new facility and remain compliant with all financial covenants.

Consequently, the directors are confident that the Group and company will have sufficient funds to continue to meet their liabilities as they fall due for at least twelve months from the date of approval of the financial statements. They have therefore prepared the financial statements on a going concern basis.

1.4 Goodwill and negative goodwill

Purchased goodwill (representing the excess of the fair value of the consideration given over the fair value of the separable net assets acquired) arising on consolidation/business combinations in respect of acquisitions is capitalised. Positive goodwill is amortised to nil by equal annual instalments over its estimated useful life. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its expected life, which is 20 years.

On the subsequent disposal or termination of a business, the profit or loss on disposal or termination is calculated after charging/(crediting) the unamortised amount of any related goodwill (negative goodwill).

Notes *(continued)*

1.5 Tangible fixed assets and depreciation

(a) *Cost*

The Group's fixed assets are recorded at cost less accumulated depreciation and accumulated impairment losses. Costs incurred during the construction of hotels and other properties are recorded as projects in progress and not depreciated. On completion the costs are re-allocated to the appropriate fixed asset category.

Cost includes directly attributable finance costs incurred during construction of new buildings.

(b) *Depreciation / impairment*

Depreciation is provided to write off the cost less the estimated residual value of tangible fixed assets by equal instalments over their estimated useful economic lives as follows:

Land	- not depreciated
Freehold and long leasehold hotel properties	- 50 years
Short leasehold properties	- over the period of the lease
Office premises	- 50 years
Fixed plant	- 20 years
Furniture, fittings and fixtures	- 4-10 years
Motor vehicles	- 4 years
Information technology equipment	- 4 years

The carrying amounts of the Group's assets are reviewed for impairment when events or changes in circumstances indicate that the carrying amount of the fixed asset may not be recoverable. If any such indication exists, the asset's recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its income-generating unit exceeds its recoverable amount. Impairment losses are recognised in the profit and loss account.

An income generating unit is the smallest identifiable group of assets that generates income that is largely independent of the income streams from other assets or groups of assets, generally an individual hotel.

(c) *Calculation of recoverable amount*

The recoverable amount of fixed assets is the greater of their net realisable value and value in use. In assessing value in use, the expected future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the rate of return expected on an equally risky investment.

1.6 Exceptional items

Exceptional items comprise items of income and expenditure which merit separate disclosure in order to give an understanding of the Group's underlying financial performance.

1.7 Leases

Assets acquired under finance leases are capitalised and the outstanding future lease obligations are shown in creditors. The lease payments are apportioned between finance charges through the profit and loss account and a reduction in the lease obligations. This apportionment is calculated using the actuarial method, whereby the finance charge is allocated to the accounting periods during the lease term so as to produce a constant periodic rate of charge on the outstanding finance lease obligation. Where a finance lease is recognised following a sale and leaseback transaction any gain arising on the disposal of the original asset is deferred and released over the life of the lease.

Operating lease rentals are charged to the profit and loss account on a straight line basis over the period of the lease.

1.8 Post-retirement benefits

The Group operates a defined contribution pension scheme. The assets of the scheme are held separately from those of the Group in an independently administered fund. The amount charged to the profit and loss account represents the contributions payable to the scheme in respect of the accounting period.

Notes *(continued)*

1.9 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.10 Taxation

Tax on the profit or loss for the period comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that is it probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

1.11 Turnover

Turnover is recognised when the significant risks and rewards of the goods and services provided are transferred to the buyer, the amount of turnover can be measured reliably, and it is probable that the economic benefits associated with the transaction will flow to the Company. Turnover represents the invoiced value of sales, excluding VAT.

Turnover represents the total invoice value, excluding value added tax, of sales made during the period.

Income from the operation of hotels arises primarily from the following streams:

- Sale of goods - turnover from the sale of food and beverages is recognised at the point of sale.
- Rendering of services - turnover from room sales and other guest services is recognised when rooms are occupied and as services are provided. Where payment is received in advance of services provided the amount is recorded in deferred income.

Income from the operation of resort properties arises primarily from the following streams:

- Sale of goods - turnover from the sale of timeshare units, food and beverages is recognised at the point of sale.
- Rendering of services - turnover from room sales and other guest services is recognised, on an accruals basis, when rooms are occupied and as services are provided. Turnover from the rental of timeshare units is recognised on an accruals basis over the rental period. Turnover from management of timeshare units is recognised on an accruals basis on delivery of the related service.

1.12 Own shares held by ESOP trust

Transactions of the Company-sponsored ESOP trust are treated as being those of the Company and are therefore reflected in the parent company and group financial statements. In particular, the trust's purchases of shares in the Company are debited directly to equity.

1.13 Investments

In the Company's financial statements, investment in subsidiary undertakings and joint ventures are stated at cost less impairment.

Notes *(continued)*

1.14 Impairment excluding stocks and deferred tax assets

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of non-financial assets, other than investment property, stocks and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit

is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing is allocated to cash-generating units (CGU), that are expected to benefit from the synergies of the combination. For the purpose of goodwill impairment testing, if goodwill cannot be allocated to individual CGUs or groups of CGUs on a non-arbitrary basis, the impairment of goodwill is determined using the recoverable amount of the acquired entity in its entirety, or if it has been integrated then the entire entity into which it has been integrated.

1.14 Impairment excluding stocks and deferred tax assets

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a *pro rata* basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.15 Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument. Intercompany debtors and creditors are settled at the entity level with the net amount reported in the Statement of Financial Position.

Notes *(continued)*

1.15 Basic financial instruments (continued)

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are recognised initially at the present value of future payments discounted at a market rate of interest. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of cash management are included as a component of cash and cash equivalents for the purpose only of the cash flow statement.

2 Segmental information

	52 weeks ended 28 September 2023		52 weeks ended 29 September 2022	
	Turnover £000	**Profit/(loss) before interest £000**	Turnover £000	Profit/(loss) before interest £000
Hotels	**108,901**	**7,968**	103,435	7,499
Resorts	**19,979**	**1,545**	18,492	2,725
Corporate and other activities	**-**	**(10,752)**	-	(6,898)
	128,880	**(1,239)**	121,927	3,326
Share of joint ventures' results	**-**	**1,329**	-	-
Other income	**-**	**-**	-	170
Profit on sale of properties and land	**-**	**1,023**	-	45,766
Total	**128,880**	**1,113**	121,927	49,262

Turnover by geographical location is analysed as originating in the United Kingdom £122.7m (2022: £117.9m) and in Spain £6.2m (2022: £4.6m). During the current period one hotel was sold. This has not been classified and disclosed as discontinued operations as it did not represent a separate major line of the business or geographical area of operation.

	Group £000	**JV & Associates & MI £000**	**2023 Total £000**	Group £000	JV & Associates & MI £000	2022 Total £000
Group operating (loss)/profit	**(1,239)**	**1,329**	**90**	3,326	-	3,326
Other income	**-**	**-**	**-**	170	-	170
Net group interest expense and similar charges	**(4,679)**	**-**	**(4,679)**	(4,728)	-	(4,728)
Tax on profit/(loss) on ordinary activities	**51**	**(332)**	**(281)**	(96)	-	(96)
Loss for the period excluding gains on disposals	**(5,867)**	**997**	**(4,870)**	(1,328)	-	(1,328)
Profit on sale of properties and land	**1,023**	**-**	**1,023**	45,766	-	45,766
(Loss)/profit for the financial period	**(4,844)**	**997**	**(3,847)**	44,438	-	44,438

Notes *(continued)*

3 Expenses and auditor's remuneration

	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
Included in Profit are the following:		
Depreciation	**5,709**	6,354
Amortisation of intangible fixed assets	**48**	49
Hire of land and buildings – rentals payable under operating leases	**4,323**	3,942
Hire of other assets – operating leases	**159**	298
Exceptional Items		
Legal & professional fees	**2,715**	376
Amounts written off tangible fixed assets	**2,004**	-
Total Exceptional Items	**4,719**	376
Auditor's remuneration:		
Audit of these financial statements	**50**	50
Amounts receivable by the auditor and their associates in respect of:		
- audit of financial statements of subsidiaries pursuant to legislation	**190**	400

Amounts paid to the Company's auditor in respect of services to the Company, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis.

The Legal and Professional fees relate to a one-off legal claim initiated by the company which is not expected to recur.

Included in Administrative expenses is an amount of £2,004,000 (2022: £nil) which related to the disposal of land in a prior period. The amount was incorrectly included in fixed assets at 31 March 2016. As the Directors do not consider the effect on the prior period financial statements to be material, this has been corrected in the current period.

4 Remuneration of directors

	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
Directors' emoluments	**956**	1,155
Company contributions to money purchase pension schemes	**-**	57
	956	1,212

The aggregate emoluments of the highest paid director were £505,000 *(2022: £505,000)*

The Company does not have any key management personnel who are not also Directors of the Company. As such, the total emoluments paid to key management personnel is consistent with the Directors emoluments noted above being £956,000 (2022: £1,212,000).

Notes *(continued)*

5 Staff numbers and costs

The average number of persons employed by the Group (including directors), analysed by category, was as follows:

	Number of employees 2023	2022
Employees of owned hotels	**2,492**	2,272
Employees operating management contracts	**217**	210
	2,709	2,482

The aggregate payroll costs of these persons were as follows:

	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
Wages and salaries	**46,588**	44,517
Social security costs	**3,562**	3,456
Other pension costs	**712**	691
	50,862	48,664
of which recharged under management contracts	**(5,034)**	(3,949)
	45,828	44,714

Macdonald Resorts Limited, a subsidiary of Macdonald Hotels Limited, operates the payroll on behalf of the clubs and the costs are recharged.

6 Interest expense and similar charges

	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
Interest on bank borrowings	**3,552**	3,058
Interest on loan notes	**939**	713
Finance charge in respect of finance leases	**6**	-
Foreign exchange (gain)/loss	**(8)**	16
Amortisation of arrangement fees (see note 13)	**190**	941
Interest expense and similar charges	**4,679**	4,728

Notes *(continued)*

7 Taxation

The tax charge comprises:

	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
UK Corporation tax		
Share of tax on operating profit in joint ventures	**292**	-
Overseas tax	**46**	-
Adjustments in respect of prior periods	**(19)**	-
Effect of tax rate change	**40**	
Total current tax charge	**359**	-
Deferred tax		
Origination and reversal of timing differences	**36**	(58)
Adjustments in respect of prior periods	**(144)**	-
Effect of tax rate change	**30**	154
Total deferred tax	**(78)**	96
Total tax charge	**281**	96

Reconciliation of effective tax rate

	52 weeks ended 28 September 2023 £000	52 weeks ended 29 September 2022 £000
(Loss)/profit for the period	**(3,847)**	44,438
Total tax charge	**281**	96
(Loss)/profit excluding taxation	**(3,566)**	44,534
Tax using the UK corporation tax rate of 22% *(2022: 19%)*	**(784)**	8,461
Effects of:		
Expenses not deductible	**745**	348
Gain not taxable	**(225)**	(8,696)
Income not taxable	**-**	58
Fixed asset differences	**760**	605
Deferred tax losses not recognised	**(157)**	(849)
Adjustments to tax charge in respect of previous periods	**(163)**	-
Effect of tax rate change	**70**	154
Other	**35**	15
Total tax charge included in profit or loss	**281**	96

Gain not taxable in the prior period relates to the gain on sale of our Manchester and Holyrood Hotels in November 2021.

Notes *(continued)*

7 Taxation *(continued)*

Factors that may affect future current and total tax charges

The Group has tax losses (trading losses and non-trading deductions) available for offset against future taxable profits of £44m *(2022: £42m)*, combined differences between accumulated depreciation and capital allowances of £3m *(2022: £nil)* and other timing differences of £23m *(2022: £16m)*. These have not been recognised as a deferred tax asset due to uncertainty over the availability of future taxable profits suitable for the utilisation of these losses.

In the Spring Budget 2021, the UK Government announced that from 1 April 2023 the corporation tax rate would increase to 25% (rather than remaining at 19%, as previously enacted). This new law was substantively enacted on 24 May 2021. For the financial period ended 28 September 2023, the current weighted averaged tax rate was 22.01%.

Deferred taxes at the balance sheet date have been measured using these enacted tax rates and reflected in these financial statements.

8 Intangible fixed assets

Group

	Goodwill £000
Cost	
At beginning of period	1,892
Amounts written off	(221)
At end of period	1,671
Amortisation and impairment	
At beginning of period	1,463
Amounts written off	(221)
Charge for period	48
At end of period	**1,290**
Net book value	
At 28 September 2023	**381**
At 29 September 2022	429

The amounts written off in the year reflects the disposal of goodwill from a prior period. As the Directors do not consider the effect on the prior period financial statements to be material, this has been corrected in the current period.

The amortisation for the period is included within administrative expenses in the profit and loss account.

Notes *(continued)*

9 Tangible fixed assets

Group	Land and buildings £000	Fixed plant £000	Vehicles, fittings and equipment £000	Projects in progress £000	Total £000
Cost					
At beginning of period	246,021	34,644	119,024	3,100	402,789
Additions	-	47	731	5,953	6,731
Disposals	(9,209)	(809)	(1,688)	-	(11,706)
Transfers	-	61	3,239	(3,300)	-
At end of period	**236,812**	**33,943**	**121,306**	**5,753**	**397,814**
Depreciation					
At beginning of period	56,112	28,258	102,600	-	186,970
Depreciation charge for period	565	663	4,481	-	5,709
Disposals	(480)	(730)	(1,167)	-	(2,377)
At end of period	**56,197**	**28,191**	**105,914**	-	**190,302**
Net book value					
At 28 September 2023	**180,615**	**5,752**	**15,392**	**5,753**	**207,512**
At 29 September 2022	189,909	6,386	16,424	3,100	215,819

Freehold land and buildings includes £18,034,000 *(2022: £18,141,000)* of land which is not depreciated.

Fixed assets include interest capitalised of £792,000 *(2022: £795,000)*. The net book value of land and buildings comprises:

	28 September 2023 £000	29 September 2022 £000
Freehold	**179,879**	189,119
Short leasehold	**736**	790
	180,615	189,909

Included in the total net book value of vehicles, fittings and equipment is £267,000 *(2022: £316,000)* of assets held under finance leases. Depreciation for the period on these assets was £21,000 *(2022: £283,000)*.

Notes *(continued)*

9 Tangible fixed assets *(continued)*

Company	Freehold properties £000	Leasehold properties £000	Vehicles, fittings and equipment £000	Projects in progress £000	Total £000
Cost					
At beginning of period	2,846	2,906	8,541	21	14,314
Additions	-	-	30	247	277
Transfers	(363)	-	554	(191)	-
Reclassification	(1,798)	398	1,400	-	-
At end of period	**685**	**3,304**	**10,525**	**77**	**14,591**
Depreciation					
At beginning of period	2,015	2,906	7,497	-	12,418
Charge for period	-	-	258	-	258
Reclassification	(1,798)	398	1,400	-	-
At end of period	**217**	**3,304**	**9,155**	**-**	**12,676**
Net book value					
At 28 September 2023	**468**	**-**	**1,370**	**77**	**1,915**
At 29 September 2022	831	-	1,044	21	1,896

Freehold properties include land of £100,000 *(2022: £100,000)* which is not depreciated.

10 Fixed asset investments

Group	Interests in joint ventures £000
Share of post-acquisition results	
Share of results including tax impact for the period	997
At end of period	997
Loans	
At beginning of period	3,870
At end of period	**3,870**
Net book Value	
At 28 September 2023	**4,867**

Notes *(continued)*

10 Fixed asset investments *(continued)*

The Group also holds an interest in Portal Hotel Golf & Country Club Limited which is now negative. This will be held off balance sheet as long as it remains a negative investment. The net book value of this investment at the year-end was a liability of £4.9m *(2022: £4.7m)*.

Company	**Shares in Subsidiaries £000**	**Total £000**
Cost		
At beginning and end of period	**225,291**	**225,291**
Provisions		
At beginning and end of period	**119,345**	**119,345**
Net book value		
At 28 September 2023	**105,946**	**105,946**
At 29 September 2022	105,946	105,946

A list of the Group and Company's subsidiary and joint venture undertakings is included at note 23.

11 Stocks

	Group		**Company**	
	28 September 2023 £000	29 September 2022 £000	**28 September 2023 £000**	29 September 2022 £000
Goods for resale	**1,362**	1,368	**33**	27

Goods for resale recognised as cost of sales in the Group in the period amounted to £20,043,000 *(2022: £19,183,000)* and the Company amounted to: £1,895,000 *(2022: £1,661,000)*.

12 Debtors: amounts falling due within one year

	Group		**Company**	
	28 September 2023 £000	29 September 2022 £000	**28 September 2023 £000**	29 September 2022 £000
Trade debtors	**4,960**	4,653	**470**	283
Other debtors and prepayments	**11,563**	10,431	**2,031**	2,774
Group relief receivable	**-**	-	**391**	-
Amounts owed by group undertakings	**-**	-	**135,730**	136,301
Amounts owed by related parties	**756**	979	**756**	979
	17,279	16,063	**139,378**	140,337

Although amounts due from Group undertakings are payable on demand, the parent Company has no plans to demand settlement in the short term.

Notes *(continued)*

13 Creditors: amounts falling due within one year

	Group		Company	
	28 September 2023 £000	29 September 2022 £000	**28 September 2023 £000**	29 September 2022 £000
Other loan	**-**	34	**-**	-
Bank loans	**2,093**	31,042	**2,093**	31,042
Revolving Credit Facility	**-**	8,000	**-**	8,000
Loan notes	**7,283**	13,318	**7,283**	13,318
Trade creditors	**15,419**	9,868	**11,171**	5,784
Other taxation and social security	**3,647**	4,875	**308**	876
Other creditors	**11,225**	12,623	**3,510**	5,538
Accruals and deferred income	**12,406**	11,746	**2,927**	1,535
Corporation tax payable	**-**	-	**-**	405
Obligation under finance leases	**97**	-	**75**	-
Interest and redemption premium accrual	**1,656**	3,671	**1,656**	3,671
	53,826	95,177	**29,023**	70,169

Analysis of bank debt as at 28 September 2023

	Drawn £000	**Headroom/ undrawn facilities £000**	**Total facilities £000**	**Repayment terms**
Bank loans				
Term loans - Facility A	**11,543**	-	**11,543**	Repayable by 5 May 2028
-Facility B	**38,475**	-	**38,475**	Repayable by 5 May 2028
- Revolving Credit Facility	**-**	**5,000**	**5,000**	Repayable by 5 May 2028
	50,018	**5,000**	**55,018**	

In May 2023, the Group refinanced, securing a £51.3m 5 year term loan and a £5m revolving credit facility. The term loan bears interest at a rate of SONIA +3.25% and Royal Bank of Scotland and Barclays hold fixed and floating charges over certain of the UK assets of the Company and its wholly owned subsidiaries.

Under the terms of this agreement the Group must meet certain financial covenants in relation to the Group's consolidated financial position. All loans are in sterling.

Deferred Bank arrangement fees of £2,176,000 *(2022: £nil)* are netted off against bank loans. £190,000 was amortised and charged to the profit and loss account during the period *(2022: £941,000)*.

Loan notes are due to related parties. These loan notes are repayable by the earlier of March 2024 or the quarter in which certain financial metrics are met and repayment would not cause breaches in other financial metrics.

Notes *(continued)*

14 Creditors: amounts falling due after more than one year

	Group		Company	
	28 September 2023 £000	29 September 2022 £000	**28 September 2023 £000**	29 September 2022 £000
Bank loans	**45,749**	-	**45,749**	-
Obligation under finance leases	**159**	-	**110**	-
	45,908	-	**45,859**	-

Analysis of finance leases:

	Group		Company	
	28 September 2023 £000	29 September 2022 £000	**28 September 2023 £000**	29 September 2022 £000
Debt can be analysed as falling due:				
In one year or less	**97**	-	**75**	-
Between one and two years	**95**	-	**75**	-
Between two years and five years	**64**	-	**35**	-
	256	-	**185**	-

Analysis of loans (including loan notes):

	Group		Company	
	28 September 2023 £000	29 September 2022 £000	**28 September 2023 £000**	29 September 2022 £000
Debt can be analysed as falling due:				
In one year or less	**9,848**	52,394	**9,848**	52,360
Between one and two years	**2,565**	-	**2,565**	-
Between two years and five years	**44,888**	-	**44,888**	-
Arrangement Fees	**(2,176)**		**(2,176)**	
	55,125	52,394	**55,125**	52,360

Notes *(continued)*

15 Deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

Group	Assets		Liabilities		Net	
	28 September 2023	29 September 2022	**28 September 2023**	29 September 2022	**28 September 2023**	29 September 2022
	£000	£000	**£000**	£000	**£000**	£000
Accelerated capital allowances	-	-	**(3,219)**	(2,077)	**(3,219)**	(2,077)
Rolled over capital gains	-	-	**(5,323)**	(5,323)	**(5,323)**	(5,323)
Other timing differences	**1,730**	509	-	-	**1,730**	509
Deferred tax assets/(liabilities)	**1,730**	509	**(8,542)**	(7,400)	**(6,812)**	(6,891)
Net of deferred tax (liabilities)/assets	**(1,730)**	(509)	**1,730**	509	-	-
Net deferred tax liabilities	-	-	**(6,812)**	(6,891)	**(6,812)**	(6,891)

In addition to the deferred tax liabilities above the Group has tax losses (trading losses and non-trading deductions) available for offset against future taxable profits of £44m *(2022: £42m)*, combined differences between accumulated depreciation and capital allowances of £3m *(2022: £nil)* and other timing differences of £23m *(2022: £16m)*. These have not been recognised as a deferred tax asset due to uncertainty over the availability of future taxable profits suitable for the utilisation of these losses.

16 Called up share capital

Group and Company	28 September 2023	29 September 2022
	£000	£000
Allotted, called up and fully paid		
3,670,865 A ordinary shares of £1 each	**3,671**	3,671
Repurchase of 322,500 A ordinary shares of £1 each	**(323)**	-
	3,348	3,671

Notes *(continued)*

17 Profit and loss account

	Group £000	Company £000
At 29 September 2022	**148,700**	**180,846**
Total comprehensive income for the financial period	**(3,847)**	**(3,659)**
At 28 September 2023	**144,853**	**177,187**

The group's and the company's profit and loss account reserve includes own ordinary shares held by the ESOP Trust of £nil *(2022: £983,000)* and "B" shares £nil *(2022: £140,000))*.

The investment in own shares represents no *(2022: 322,500)* ordinary £1 shares and no (*2022:59,840*) "B" 0.1p shares of the company held by the company's Employee Benefit Trust. The purchase of these shares is funded by a loan from the company. All costs of administering the Trust are charged to the profit and loss account as they arise

£165 million of the company profit and loss account relates to the sale of hotels within the group at fair value. This element of the Profit and loss account, having not been realised is not distributable.

18 Contingent liabilities

The company has an obligation under the group VAT registration amounting at 28 September 2023 to £2.6 million *(2022: £3.9 million)*.

19 Commitments

(a) Capital commitments at the end of the financial period, for which no provision has been made, are nil.

(b) Total commitments under non-cancellable operating leases are as follows:

	28 September 2023		29 September 2022	
Group	**Land and buildings £000**	**Other £000**	Land and Buildings £000	Other £000
Operating leases which expire:				
Within one year	**4,281**	**159**	4,040	14
In the second to fifth years inclusive	**17,081**	**348**	16,115	-
Over five years	**220,685**	-	216,574	-
	242,047	**507**	236,729	14
Company				
Operating leases which expire:				
Within one year	**3,563**	-	3,322	-
In the second to fifth years inclusive	**14,253**	-	13,287	-
Over five years	**190,728**	-	185,914	-
	208,544	-	202,523	-

Notes *(continued)*

20 Pension scheme

The Group operates a Group Personal Pension (GPP) which is administered by an independent third party. The GPP is a series of individual personal pension plans into which Macdonald Hotels Limited makes contributions. Pension costs represent contributions payable to the GPP, together with defined contributions payable by the Group to other individual personal pension plans administered separately for directors and certain employees in accordance with their respective service contracts or terms and conditions of employment, which are charged to the profit and loss account.

The total of employers contributions for the period was £712,000 *(2022: £691,000)*. Employer and employee contributions totalling £313,000 *(2022: £197,000)* remain unpaid at 28 September 2023 and are included in other creditors.

In addition the Company has two other defined contribution occupational pension schemes which are closed to new members and no longer receive further contributions, the MHL Pension scheme and Macdonald Hotels plc Group Pension Scheme.

21 Net debt

The below is an analysis of changes in net debt from the beginning to the end of the current financial period:

	Borrowings due within one year	Borrowings due after one year	**Subtotal**	Cash and cash equivalents	**Net debt**
Net debt analysis	**£000**	**£000**	**£000**	**£000**	**£000**
Balance at 29 September 2022	(52,394)	-	(52,394)	16,890	(35,504)
Cash inflows/(outflows)	43,018	(45,749)	(2,731)	6,456	3,725
Other non-cash changes	(97)	(159)	(256)	-	(256)
Balance at 28 September 2023	**(9,473)**	**(45,908)**	**(55,381)**	**23,346**	**(32,035)**

22 Related party disclosures

Group
Transactions between Macdonald Hotels Limited and its related parties include the recharge of invoices which relate to goods and services purchased by the company in order to take advantage of increased purchasing power and rebates.

The Group has a fifty per-cent interest in the shareholding of Portal Hotel, Golf and Country Club Limited. During the period the group recharged invoices totalling £316,000 (2022: £135,000). At the period end the Group was due £458,000 *(2022: £144,000)* in respect of outstanding trading balances. There was no trading with the other joint ventures in the year.

The Group was due £82,000 *(2022: £835,000)* in respect of outstanding trading balances from Monument Leisure Limited, a company related by a common director. During the period the Group recharged invoices totalling £nil *(2022: £17,000)*.

The Group settled invoices on behalf of Cardrona Company during the year totalling £236,000 *(2022: £nil)* which remained outstanding at the year end. At the period end the Group owes £7,283,000 (2022: £13,318,000) in respect of loan notes. There were no further material transactions with related parties in the period.

Company
The Company has a fifty per-cent interest in the shareholding of Portal Hotel, Golf and Country Club Limited. The Company was due £458,000 *(2022: £17,000)* in respect of outstanding trading balances.

The Company was also due £82,000 *(2022: £835,000)* in respect of outstanding trading balances from Monument Leisure Limited, a company related by a common director.

The Company settled invoices on behalf of Cardrona Company during the year totalling £236,000 *(2022: £nil)* which remained outstanding at the year end. At the period end the Company owes £7,283,000 (2022: £13,318,000) in respect of loan notes. There were no further material transactions with related parties in the period.

Notes *(continued)*

23 Investments

The Group's interest in its subsidiary and joint venture undertakings at 28 September 2023 was as set out below along with details of their respective registered offices. All subsidiaries are 100% owned unless otherwise stated and all joint ventures are 50% owned unless otherwise stated.

Subsidiary undertakings	Registered office address
Holding Company	
Macdonald Hotels Investments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Ownership & Operation of Hotels	
Intra Inns Limited	1 Park Row, Leeds, LS1 5AB
Ledge 563 Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Callers-Linden Holdings Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Aviemore Highland Resort Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Alveston Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Ansty Hall Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Bear Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Berystede Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Blossoms Limited	1 Park Row, Leeds, LS1 5AB
Bobsleigh Inn Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Botley Park Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Compleat Angler Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Crutherland Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Frimley Hall Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Houstoun House Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Inchyra Grange Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Leeming House Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Tickled Trout Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Kilhey Court Limited	1 Park Row, Leeds, LS1 5AB
Hill Valley Hotel, Golf and Country Club Limited	1 Park Row, Leeds, LS1 5AB
Cardrona Hotel, Golf and Country Club Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Botley Park Golf Club Limited	1 Park Row, Leeds, LS1 5AB
Acova Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Equity Trustee Company Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels MTIP Trustee Company Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Whiteside Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Lochanhully Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Plas Talgarth Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Winterhaven Properties Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Resorts Hospitality Services SL	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resorts Spain SA	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Developments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Management of hotels & Leisure Businesses	
Macdonald Hotels (Management) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Property Management	
MH Apartments Limited	1 Park Row, Leeds, LS1 5AB
Egerton House Developments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Notes *(continued)*

23 Investments *(continued)*

Subsidiary undertakings *(continued)*

Sale, Management & Rental of Timeshare Units	
Macdonald Resorts Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resorts (La Ermita) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Rental of Property	
Leila Playa No 4 Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Dona Lola No 1 Limited	1 Park Row, Leeds, LS1 5AB
Management of Overseas Resort	
Macdonald Resorts (Vale D'Oliveiras) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Joint Ventures	
Portal Hotel, Golf and Country Club Limited (50% interest)	1 Park Row, Leeds, LS1 5AB
Sco Hotels Co Limited (50% interest)	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Lymm (Villafont) Limited (50% interest)	1 St Georges Court, Altrincham Business Park, Altrincham, WA14 5UA
New Care (Egerton) Holdings Limited (50% interest)	1 St Georges Court, Altrincham Business Park, Altrincham, WA14 5UA
Dormant Companies	
Craxton Wood Developments Limited	1 Park Row, Leeds, LS1 5AB
Kilhey Court Hotels Limited	1 Park Row, Leeds, LS1 5AB
Waterloo Holdings Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Travel Club Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Loch Rannoch Limited	1 Park Row, Leeds, LS1 5AB
Pittodrie Group Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
MDH 123 Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Forest Hills (Aberfoyle) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Aviemore Development Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Management Services Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Cardrona Partnership Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Portland Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Timeshare Options Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resort Ownership Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels (Solberge) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Aviemore Leisure Management Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Beginmajor Limited	1 Park Row, Leeds, LS1 5AB
Countrytown Hotels Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Inchyra Grange Hotel Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Inchyra Services Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Leisure Resorts Management Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Golf Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotel and Resorts Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Thainstone House Hotel Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Windsor Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Burlington Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Notes *(continued)*

24 Accounting estimates and judgements

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the period. However, the nature of estimation means that actual outcomes could differ from those estimates. The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements:

Impairment of tangible assets, goodwill and investments.

The Group considers whether tangible assets, investments and/or goodwill are impaired. Where an indication of impairment is identified the estimation of recoverable value requires estimation of the recoverable value of the cash generating units (CGUs). This requires estimation of the future cash flows from the CGUs and also selection of appropriate discount rates in order to calculate the net present value of those cash flows

Taxation

Management estimation is required to determine the amount of deferred tax assets that can be recognised, based upon likely timing and level of future taxable profits together with an assessment of the effect of future tax planning strategies.

25 Ultimate Controlling Party

In the opinion of the directors there is no ultimate controlling party.

23 Investments

The Group's interest in its subsidiary and joint venture undertakings at 28 September 2023 was as set out below along with details of their respective registered offices. All subsidiaries are 100% owned unless otherwise stated and all joint ventures are 50% owned unless otherwise stated.

Subsidiary undertakings	Registered office address
Holding Company	
Macdonald Hotels Investments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Ownership & Operation of Hotels	
Intra Inns Limited	1 Park Row, Leeds, LS1 5AB
Ledge 563 Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Callers-Linden Holdings Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Aviemore Highland Resort Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Alveston Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Ansty Hall Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Bear Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Berystede Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Blossoms Limited	1 Park Row, Leeds, LS1 5AB
Bobsleigh Inn Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Botley Park Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Compleat Angler Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Crutherland Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Frimley Hall Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Houstoun House Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Inchyra Grange Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Leeming House Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Tickled Trout Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Kilhey Court Limited	1 Park Row, Leeds, LS1 5AB
Hill Valley Hotel, Golf and Country Club Limited	1 Park Row, Leeds, LS1 5AB
Cardrona Hotel, Golf and Country Club Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Botley Park Golf Club Limited	1 Park Row, Leeds, LS1 5AB
Acova Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Equity Trustee Company Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels MTIP Trustee Company Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Whiteside Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Lochanhully Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Plas Talgarth Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Winterhaven Properties Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Resorts Hospitality Services SL	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resorts Spain SA	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Developments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Management of hotels & Leisure Businesses	
Macdonald Hotels (Management) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Property Management	
MH Apartments Limited	1 Park Row, Leeds, LS1 5AB
Egerton House Developments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Notes *(continued)*

23 Investments *(continued)*

Subsidiary undertakings *(continued)*

Sale, Management & Rental of Timeshare Units	
Macdonald Resorts Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resorts (La Ermita) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Rental of Property	
Leila Playa No 4 Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Dona Lola No 1 Limited	1 Park Row, Leeds, LS1 5AB
Management of Overseas Resort	
Macdonald Resorts (Vale D'Oliveiras) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Joint Ventures	
Portal Hotel, Golf and Country Club Limited (50% interest)	1 Park Row, Leeds, LS1 5AB
Sco Hotels Co Limited (50% interest)	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Lymm (Villafont) Limited (50% interest)	1 St Georges Court, Altrincham Business Park, Altrincham, WA14 5UA
New Care (Egerton) Holdings Limited (50% interest)	1 St Georges Court, Altrincham Business Park, Altrincham, WA14 5UA
Dormant Companies	
Craxton Wood Developments Limited	1 Park Row, Leeds, LS1 5AB
Kilhey Court Hotels Limited	1 Park Row, Leeds, LS1 5AB
Waterloo Holdings Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Travel Club Limited	1 Park Row, Leeds, LS1 5AB
Macdonald Loch Rannoch Limited	1 Park Row, Leeds, LS1 5AB
Pittodrie Group Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
MDH 123 Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Forest Hills (Aberfoyle) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Aviemore Development Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Management Services Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Cardrona Partnership Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Portland Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Timeshare Options Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resort Ownership Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels (Solberge) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Aviemore Leisure Management Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Beginmajor Limited	1 Park Row, Leeds, LS1 5AB
Countrytown Hotels Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Inchyra Grange Hotel Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Inchyra Services Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Leisure Resorts Management Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Golf Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotel and Resorts Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Thainstone House Hotel Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Windsor Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Burlington Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Notes *(continued)*

23 Investments *(continued)*

The subsidiaries listed below are exempt from the Companies Act 2006 requirements relating to the audit of their individual accounts for the year ended 28 September 2023 by virtue of Section 479A of the Act as this company has guaranteed each subsidiary company under Section 479C of the Act.

Intra Inns Ltd	00921405
Ledge 563 Ltd	SC213290
Callers-Linden Holdings Ltd	03083842
Macdonald Aviemore Highland Resort Limited	SC360380
Macdonald Alveston Ltd	05948390
Macdonald Tickled Trout Ltd	05948291
Macdonald Bear Ltd	05948334
Macdonald Berystede Ltd	05948377
Macdonald Blossoms Ltd	05948437
Bobsleigh Inn Ltd	05948480
Macdonald Botley Park Ltd	05903092
Macdonald Compleat Angler Ltd	05948433
Macdonald Crutherland Ltd	05948367
Macdonald Frimley Hall Ltd	05948458
Macdonald Leeming House Ltd	05948329
Macdonald Kilhey Court Ltd	05948311
Macdonald Hotels (Management) Ltd	SC141208
Hill Valley Hotel Golf & Country Club Limited	04934492
Egerton House Developments Limited	SC574040
Inchyra Grange Hotel Ltd	SC060447
Cardrona Hotel, Golf & Country Club Ltd	SC187420
Leila Playa No.4 Ltd	01981477
Macdonald Dona Lola No.1 Ltd	02099183
Macdonald Resorts (La Ermita) Ltd	SC187439

By order of the board

H Gillies
Director